

# Accounting and Accountability

Week 1



# Content

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**Course introduction**

02

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03

**How to write a  
reflection**

04

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# Course Assessments



## In-class quizzes(20%)

This assessment task includes **5 quizzes**. Each quiz will consist of **5 computer marked questions** based on the topics in prior modules. Students will have **20 mins (one attempt)** to complete the quiz.

**The Quiz is organized in tutorial week.**



## Tutorial problems (20%)

Students will work in groups (**4-5 in one group**) on tutorial problems which will then present formally in tutorial class. Each group will be assigned an accounting problem to work on and **prepare a PPT to present** their solutions in the tutorial week.

**All group members must participate and will be assessed.**



## Written reflection (20%)

Students will write **two written reflections** (500-word minimum) about their views on a career in accounting. Each one takes 10%. The due date for two reflections is **the end of week 4 and week 13.**



## Final Exam (40%)

**2 hours open book exam** covering material discussed in lectures and tutorials during the whole term. The exam will consist of a variety of question types i.e. multiple choice questions, short answer questions and problem solving exercises.

# Key concepts

01

## What is accountability?

Accountability is about owning and being responsible for your decisions.

Accounting information is going to support accountability. To make decisions managers need good information.

02

## What is accounting?

Accounting is a technical, social and moral practice concerned with the sustainable utilisation of resources and proper accountability to stakeholders to enable the flourishing of organisations, people and nature.

In the past, accounting focused on recording what happens in the business using numbers and much of this was written in books by hand. Today much of the recording work is done automatically using technology.

Accountants now do more than just bookkeeping. The systems do the bookkeeping and the accountants do the analysis and advising.



# Key concepts--Business structures and accountability

## Types of Business Structures

|                          | <b>Sole Proprietorship</b> | <b>Partnership</b>      | <b>Corporation</b>      |
|--------------------------|----------------------------|-------------------------|-------------------------|
| Number of Owners         | Single individual          | Two or more individuals | One or more owners      |
| Ease of Formation        | Easier to form             | Harder to form          | Difficult to form       |
| Ability to Raise Capital | Difficult to raise capital | Harder to raise capital | Easier to raise capital |
| Liability Risk           | Unlimited liability        | Unlimited liability     | Limited liability       |

# Business structures and accountability

- **Proprietorship**

- Single owner
- Tend to be small retail stores or solo providers of professional services
- Personally liable for all business's debts
- Distinct entity for accounting purposes

# Business structures and accountability

- **Partnership**

- Two or more parties as co-owners
- Income and losses “flow through” to partners
- Many are small or medium-sized companies
- General partnerships have mutual agency and unlimited liability
- In limited-liability partnerships, only liable up to the investment put in

# Business structures and accountability

## Corporation

- Owned by stockholders (shareholders)
- Able to raise large sums of capital by issuing stock
- Formed under state law
- Legally distinct from its owners
- Stockholders have no personal obligation for the corporation's debts, limited liability



# Business structures and accountability

## Corporation

- Double taxation
  - Corporation pays income tax
  - Shareholders taxed on dividends
- Stockholders elect board of directors, which
  - Sets policy
  - Appoints officers

# Key concepts

01

## how does accountability relate to accounting and businesses?

Managers have many short-term and long-term decisions to make in a business. Managers are accountable to stakeholders (investors, lenders, customers etc) for these decisions. Accounting information records the results and is used to evaluate the performance of managers.

02

## What does accounting involve?

Accounting is a process. Everything that happens in the business is recorded- every sale to customers, every expense paid, every item purchased. The amount is recorded and the type of transaction is recorded.

This information is then summarised, put into categories.

Then we use this summarised information to create financial statements.

These financial statements are then used by stakeholders to make decisions about the business.



1. People make decisions.



2. Business transactions occur.



3. Companies report their results.



Accounting Is the Language of Business, an information system that:

- Measures business activities
- Processes data into reports
- Communicates results to decision makers

# Key concepts--Different types of accounting

## Branches of accounting

- Financial accounting – preparing accounting information in accordance with regulated accounting standards
- Management accounting – preparing information for internal decision making
- Audit and assurance – providing a level of assurance over information presented by a third party using regulated auditing standards
- Taxation – providing advice interpreting the tax regulations for businesses and individuals
- Business advisory – providing advice to clients – individuals or businesses

Question: If you studied accounting as your major, which type of accounting role would you be most interested in?

[What is CPA?](https://www.bilibili.com/video/BV1ve4y1Q7Dw/?spm_id_from=333.337.search-card.all.click&vd_source=1c8ddbfc0e0ebfc565860aa5d6ce16e3) [https://www.bilibili.com/video/BV1ve4y1Q7Dw/?spm\\_id\\_from=333.337.search-card.all.click&vd\\_source=1c8ddbfc0e0ebfc565860aa5d6ce16e3](https://www.bilibili.com/video/BV1ve4y1Q7Dw/?spm_id_from=333.337.search-card.all.click&vd_source=1c8ddbfc0e0ebfc565860aa5d6ce16e3)

[What is "Big 4"?](https://www.bilibili.com/video/BV1Lv411W77s/?spm_id_from=333.337.search-card.all.click&vd_source=1c8ddbfc0e0ebfc565860aa5d6ce16e3) [https://www.bilibili.com/video/BV1Lv411W77s/?spm\\_id\\_from=333.337.search-card.all.click&vd\\_source=1c8ddbfc0e0ebfc565860aa5d6ce16e3](https://www.bilibili.com/video/BV1Lv411W77s/?spm_id_from=333.337.search-card.all.click&vd_source=1c8ddbfc0e0ebfc565860aa5d6ce16e3)

# Key concepts--Different types of accounting

## What are the different sorts of accountants

| Type of accountant     | Description of their work                                                                                                                                                                                                        |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Financial accountants  | Prepare accounting information for presentation to external stakeholders including shareholders, regulators and the government.                                                                                                  |
| Management accountants | Prepare accounting information for presentation to internal stakeholders such as management for use in business decision making.                                                                                                 |
| Auditors               | Independent accountants who audit the financial statements of (mostly) publicly listed companies to determine whether management are telling the truth in their numbers and disclosures.                                         |
| Business advisors      | Prepare and use accounting information to provide advice to businesses. Sometimes smaller businesses will hire a business advisor on an as-needs basis rather than have a team of financial and management accountants in-house. |
| Tax accountants        | Prepare accounting information for tax related purposes. This may be for individual income tax, or corporate tax issues. Tax accountants may work in public accounting firms, or within one specific business.                   |

# Tutorial activities--Tutorial 1A

What is accountability?

- a. Taking responsibility for your actions.
- b. Taking responsibility for other stakeholder's actions.
- c. Allowing stakeholders to be responsible for company decisions.
- d. I don't know.

How does accounting ensure accountability?

- a. All the internal accounting information is available to any stakeholder.
- b. Accounting information is only provided if there is a problem in the business that stakeholders need to know about.
- c. Accounting information helps stakeholders to understand what is happening in the business.
- d. I don't know.

What does a financial accountant do?

- a. Prepares information for internal users.
- b. Audits financial statements.
- c. Prepares information for external users.
- d. I don't know.

# Tutorial activities--Tutorial 1A

## Tutorial problems Self-assessment

| Tutorial Problems Criteria                                             | Week 1: My grade goalHD, D, C, P | Week 1: What will you do to achieve this goal? <i>Where could you take a risk or set a stretch challenge?</i> |
|------------------------------------------------------------------------|----------------------------------|---------------------------------------------------------------------------------------------------------------|
| Tutorial preparation and completion of tutorial problems during class. |                                  |                                                                                                               |
| Participate in tutorial and group activities.                          |                                  |                                                                                                               |
| Communicates cohesively and coherently.                                |                                  |                                                                                                               |
| Use content specific lexicogrammar.                                    |                                  |                                                                                                               |

# Tutorial activities--Tutorial 1B (careers workshop)

## Exploring ideas for your future

What are your career goals and aspirations? Write down three job roles, careers and/or industries that you are interested in.

1.

2.

3.



# Tutorial activities--Tutorial 1B

**What would you like to do in your future if there were no limitations?**



# Tutorial activities--Tutorial 1B

## **My achievements**

List past achievements or positive experiences. These are things that you are proud of or that make you feel energised. They may also include things you recognise as 'achievements', but they don't have to be something that others recognise as a 'win'.

Write down your achievements as you think of them. You don't need to prioritise them. Aim for at least five, but come up with as many as you can. Remember, you can write about things you did in a variety of life roles.

### **My achievements**

- 1.
- 2.
- 3.
- 4.
- 5.

# Tutorial activities--Tutorial 1B

## **Share and hear an achievement**

Review your full list of achievements and reflect on the themes you've noticed. What do they tell you about yourself, your strengths and your skills?

Share the story of one of your achievements with your partner. As you speak, your partner should listen and note down any strengths or skills that they can identify in your story. Swap roles and repeat.

Discuss the strengths and skills that you were able to identify for each other.

**Write your notes here.**

# Tutorial activities--Tutorial 1B

## Strengths and skills list

Review this list of competencies. These are competencies you will be working on developing throughout your studies. What do you believe are your strengths and what areas would you like to develop?

### Top 10 most assessed competencies as reported by graduate employers (AAGE survey 2018)

|                              |                                  |
|------------------------------|----------------------------------|
| 1. Teamwork                  | 6. Problem solving skills        |
| 2. Cultural fit              | 7. Analytical skills             |
| 3. Interpersonal skills      | 8. Achieves results              |
| 4. Oral communication skills | 9. Integrity and trust           |
| 5. Motivational fit          | 10. Written communication skills |

# Tutorial activities--Tutorial 1B

## **When was I brave?**

Describe a time when you had to be brave.

## **Cross-cultural competency**

Review the cultural competency factors on pre-tutorial page 1.3.

You can build your own cultural competence this semester and improve your employability!

Choose one aspect of cultural competence that you would like to develop this semester and write down some practical steps on how you will do this.

Write your notes here.

# Tutorial activities--Tutorial 1B

## **Peer interview**

Interview a peer sitting near you. Ask them these questions:

- What are your values, attitudes and beliefs?
- Do you have any prior experience studying or working in business or accounting?
- What are your study goals for this subject?

## **Explore a career in accounting**

- Explore accounting professional associations: e.g. CPA
- Talk to people you know who have businesses or work in business or accounting. Ask questions, get curious.
- Explore some career websites like boss直聘, 51job.

# Tutorial activities--Tutorial 1B

## Learning is challenging

Learning how to learn is a skill you will use your whole life and can help you become an independent learner!

Your brain learns in two ways, called learning pathways. You have an explanation and a practice pathway.

**The “explanation” pathway** (declarative pathway) learns from explanations. For example, teacher instruction, videos or reading a book.

**The “practice” pathway** (procedural) learns through practice. You need to practice on your own to help develop the practice pathway. Both pathways are essential for learning.

Sometimes we just like to do what’s easy and leave the hard stuff for later. Only doing what you are good at is a poor learning strategy. Lean in to the challenge rather than avoid it.

## Class discussion:

How has leaning into a challenge in the past allowed you to achieve more than what you thought you could?

# Tutorial activities--Tutorial 1B

## **Written reflection 2A**

In Week 1, you will participate in a careers workshop activity. In this activity, you will reflect on your goals, career aspirations and how accounting may or may not be relevant to your future. After completing these activities in Week 1, you will write a 500-word reflection. This is due at the end of Week 4.

Name:

Student number:

Word count (total word limit for all questions: 500 words):

Instructions: Answer each question below.

NOTE:

Your completed word document template should be submitted to Canvas.

Ensure your submission is completed yourself. Your assessment will be submitted through Turnitin for similarity checking.

If this is your second time doing this subject you **MUST** write a brand-new reflection from scratch. If you submit your assignment from last semester you will be reported for academic dishonesty.



# Tutorial activities--Tutorial 1B

## Written reflection 2A

1. At this point, describe your career goals and aspirations. In your answer explain:

- ◆ Your background thinking behind your career goals and aspirations up to now.
- ◆ What are your feelings and emotions related to your career goals?
- ◆ What external pressures do you face related to your career goals?
- ◆ How the career pages in the pre-tutorial section (Week 1.4 Accounting careers) and did the career self-assessment workshop (Tutorial 1B) impact your career goals and aspirations?

# Tutorial activities--Tutorial 1B

## Written reflection 2A

2. Subject Learning Objective 1 in this subject is to “Understand the role of accountants and accounting information in business”.

- ◆ What did you think about accounting before you started this subject?
- ◆ Did you think accounting would be relevant to you? Explain why or why not.

3. Create some SMART goals for THIS subject, Accounting and Accountability:

- ◆ What grade would you like to get in this subject?
- ◆ Look at your weekly online quiz results (assessment and practice quizzes) so far. How are you going compared to your goal so far?
- ◆ What will you do to achieve your goal in this subject?

# How to write a reflection

You will need to write two reflections in this subject.

2A Written reflection is due at the end of week 4 and 2B Written reflection is due at the end of week 13.

## Reflective learning

1. Learning from your experiences is what we call reflective learning.
2. Reflection involves thinking a bit more about an experience to get a better understanding and to consider what you have learnt from it.
3. Reflecting is essential for deep learning to occur and you probably reflect all the time without realising it.
4. A reflection should describe what has happened and then analyse and evaluate the experience.

# How to write a reflection

## **Describe what happened.**

- ✓ What did I do, hear and see?
- ✓ How did I feel? What are your emotions or feelings?
- ✓ What did you learn from the experience?
- ✓ How does this experience relate to what you already know?
- ✓ What new insights have you gained?

## **Evaluate and analyse the experience.**

- ✓ What did I think at the start and what do I think now?
- ✓ How was the learning experience useful or beneficial?
- ✓ How has the experience affected your thinking or behaviour for the future?
- ✓ How have you changed?
- ✓ What will you do next?

In this subject you will be writing two reflections. The second reflection should build on what you have written in your first reflection and should demonstrate the progress and changes in your thinking about accounting and a career in accounting over the semester.

# Tutorial problems week 1

Conduct a survey on a specific business activity (e.g. open a store or borrow a loan), describe the operational process of the business activity, and identify the accounting activities that may be involved. Introduce the specific use scenarios and purposes of accounting in the management process of this business activity.

- You will work in groups (4-5 in one group) on tutorial problems.
- You will prepare a PPT and present the solution with the class in tutorial week.
- All group members need to participate and explain the solution and also answer any further questions from the class.
- Time limit: 15-20 minutes.